



INDIAN LAW & DEALMAKING · 20 AUGUST 2026

Five moves shaping the board now.

- › Reliance Entertainment pushed into insolvency over unpaid debt
- › Supreme Court clears path for DoT to invoke RCom guarantees
- › NCLAT rejects Byju appeal regarding GLAS Trust voting share
- › SEBI simplifies FPI onboarding with digital power of attorney
- › Tata Steel secures CCI clearance for full control of TMILL

SWIPE →



Reliance Entertainment Admitted Into CIRP

On 19 August 2026, the NCLT Mumbai Bench admitted Pen India Pvt Ltd's Section 7 application against Reliance Entertainment Studios Pvt Ltd for an unpaid financial debt of 11.94 crore rupees. The tribunal ruled that security deposits advanced for film releases constitute financial debt, appointing Umesh Balaram Sonkar as interim resolution professional.

THE READ

This admission places a major entertainment studio under insolvency control, instantly turning intellectual property and distribution receivables into active diligence battlegrounds. Creditors gain leverage over platform relationships while operational restructuring takes precedence over content production.



Supreme Court Denies RCom Stay On Guarantees

On 20 August 2026, the Supreme Court declined to entertain Reliance Communications Ltd's challenge against the Department of Telecommunications invoking bank guarantees totaling 801.91 crore rupees for deferred spectrum dues. The bench comprising Justices P.S. Narasimha and Alok Aradhe granted RCom liberty to approach the relevant High Court without status-quo protection.

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This outcome prioritizes sovereign statutory dues over general insolvency distribution rights, diminishing the residual estate available for other creditors. Financial institutions that issued the guarantees face immediate payout exposure under regulatory pressure.



NCLAT Dismisses Byju Appeal On Voting Share

On 19 August 2026, the NCLAT Chennai dismissed Byju Raveendran's appeal challenging GLAS Trust Company LLC's majority voting share in Think & Learn Pvt Ltd. The appellate panel held that the underlying NCLT order was purely procedural as it merely listed the matter for a future hearing, rendering the appeal non-maintainable.

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This ruling protects the current creditor committee configuration from dilatory tactics, keeping resolution timelines intact for the upcoming NCLT hearing. Stakeholders can proceed with confidence that procedural challenges will not easily derail committee voting dynamics.



SEBI Permits Digital Power Of Attorney For FPIs

On 20 August 2026, the Securities and Exchange Board of India issued a circular allowing foreign portfolio investors to utilize digitally signed powers of attorney. This regulatory update is specifically designed to streamline account opening and operational onboarding procedures across market intermediaries.

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This measure significantly reduces administrative friction and cross-border paperwork for offshore funds entering Indian capital markets. Custodians and brokers can now accelerate client onboarding timelines while maintaining strict compliance standards.



COMPETITION · CCI

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Tata Steel Cleared For TMILL Stake Acquisition

On 18 August 2026, the Competition Commission of India approved Tata Steel Ltd's acquisition of the remaining 23 percent stake held by IQ Martrade Holding in TM International Logistics Ltd. Following this approval, Tata Steel's shareholding will increase from 51 percent to 74 percent, resulting in the exit of IQ Martrade.

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This clearance consolidates Tata Steel's absolute command over its core logistics and cargo transportation infrastructure. Eliminating joint venture friction ensures seamless supply chain integration aligned directly with corporate manufacturing targets.



THE THROUGH-LINE

The legal landscape this week demonstrates aggressive enforcement of statutory rights and streamlined regulatory compliance across corporate sectors. From the invocation of high-value telecom guarantees and rigorous insolvency admissions to strategic logistics consolidation and digital market access reforms, regulatory bodies are decisively dismantling operational bottlenecks. Legal strategies must consequently pivot toward proactive risk mitigation and swift compliance adaptation to navigate these tightening judicial frameworks.





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